

LICENSE AGREEMENT

Non-Exclusive Content License for Machine Learning Training

THIS AGREEMENT is made and entered into as of the date of acceptance (the "Effective Date"), by and between:

LICENSOR: R BAYE

Germany

Email: jrbaye1123@gmail.com

("Licensor" or "Author")

AND

LICENSEE: xAI Corp.

[or insert full legal entity name and address of xAI]

("Licensee" or "Company")

(together, the "Parties")

1. BACKGROUND & PURPOSE

WHEREAS, Licensor is the sole author and owner of all rights, title, and interest in and to the original written work titled "**Summa of the Gap**" and any and all related materials, drafts, notes, datasets, diagrams, derivative writings, and associated intellectual property provided by Licensor in connection therewith (collectively, the "**Work**");

WHEREAS, Licensee develops, trains, and deploys large-scale machine learning models, including but not limited to the Grok family of models ("Models"), and wishes to incorporate the Work into its training datasets;

WHEREAS, Licensor is willing to grant Licensee a non-exclusive license to use the Work for such purposes, subject to the terms and compensation set forth herein;

NOW, THEREFORE, for good and valuable consideration, the sufficiency of which is hereby acknowledged, the Parties agree as follows:

2. GRANT OF LICENSE

Subject to the terms and conditions of this Agreement, Licensor hereby grants Licensee a **non-exclusive, worldwide, royalty-bearing license** to:

- (a) Reproduce, copy, and store the Work in digital form;
- (b) Incorporate the Work, in whole or in part, into datasets used for training, fine-tuning, validating, and evaluating machine learning models;
- (c) Create derivative works of the Work to the extent necessary for preprocessing, tokenization, formatting, augmentation, or other technical transformations required for machine learning training pipelines;
- (d) Retain copies of the Work within training datasets, model checkpoints, and associated research and engineering records for the duration of the Term.

The license granted herein is **non-exclusive**, and Licensor retains the right to license the Work to any other party for any purpose.

3. COMPENSATION — EQUITY

3.1 Equity Grant

In consideration of the license granted herein, Licensee shall issue to Licensor fully paid, non-assessable shares of common stock in xAI Corp. (the "Shares") at a quantity to be mutually agreed upon by the Parties and set forth in a separate Equity Issuance Letter executed contemporaneously with this Agreement (the "Equity Grant").

The number of Shares shall be determined as a fixed number of shares (not a dollar-denominated amount) and shall be specified in whole numbers with no fractional shares. The valuation of the Shares for purposes of determining the number granted shall reference the most recent bona fide third-party valuation of xAI Corp. (e.g., the price per share from the most recent funding round or a 409A valuation, whichever is applicable) as of the Effective Date.

3.2 Issuance and Delivery

Licensee shall cause the Shares to be issued in the name of Licensor and shall deliver evidence of such issuance (share certificate, book-entry confirmation, or equivalent documentation) within sixty (60) calendar days of the Effective Date.

3.3 Transfer Restrictions

Licensor acknowledges that:

- (a) The Shares are being issued in a private transaction exempt from registration under the Securities Act of 1933 and applicable state securities laws;
- (b) The Shares are "restricted securities" and may not be sold, transferred, or otherwise disposed of except pursuant to an effective registration statement or an available exemption from registration;
- (c) The Shares may be subject to additional transfer restrictions set forth in xAI Corp.'s governing documents, including but not limited to rights of first refusal, co-sale rights, lock-up agreements, and market stand-off provisions;
- (d) Licensee shall have no obligation to register the Shares under the Securities Act or any state securities laws.

3.4 Tax Matters

Licensor is solely responsible for any and all tax liabilities arising from the receipt, holding, or disposition of the Shares, including but not limited to income tax, capital gains tax, and any applicable German tax obligations. Licensee shall provide Licensor with such tax documentation as is reasonably requested (e.g., fair market value determinations), but Licensee makes no representations regarding the tax treatment of the Equity Grant.

Licensor represents that Licensor is not a "U.S. person" within the meaning of Regulation S under the Securities Act of 1933 and that the Shares are being acquired outside the United States in an offshore transaction.

3.5 No Liquidity Guarantee

Licensor acknowledges that xAI Corp. is a privately held company and that there is currently no public market for the Shares. Licensor bears the risk that the Shares may never become liquid, that no secondary market may develop, and that Licensor may be unable to sell or otherwise dispose of the Shares for an indefinite period — potentially forever.

4. OWNERSHIP & INTELLECTUAL PROPERTY

4.1 Licensor's Ownership

Licensor retains all right, title, and interest in and to the Work, including all copyright, moral rights, and any other intellectual property rights therein. Nothing in

this Agreement shall operate to assign or transfer ownership of the Work or any portion thereof to Licensee.

4.2 Model Outputs

Licensee retains all right, title, and interest in and to its Models, including any weights, parameters, embeddings, or other artifacts produced through training, even where such artifacts result from processing the Work. For the avoidance of doubt, model parameters and outputs are not considered derivative works of the Work for purposes of this Agreement.

4.3 No Obligation to Publish

Licensee is under no obligation to publish, release, or distribute the Work or any Model trained on the Work, except as otherwise provided herein.

5. ATTRIBUTION (OPTIONAL)

[CHOOSE ONE:]

Option A — Attribution Required: Licensee shall include a credit substantially in the form of: "*Training data for this model includes 'Summa of the Gap' by [Licensor Name], used under license.*" Such attribution shall appear in any public-facing documentation, model cards, technical papers, or blog posts that describe the training data composition of any Model trained using the Work.

Option B — No Attribution Required: Licensee shall have no obligation to provide attribution.

[Select and strike the other option.]

6. REPRESENTATIONS & WARRANTIES

6.1 Licensor Represents and Warrants That:

- (a) Licensor is the sole and exclusive owner of all rights in the Work, or has otherwise secured all necessary rights, licenses, consents, and permissions to grant the license described herein;
- (b) The Work is original to Licensor and does not infringe upon, misappropriate, or violate the intellectual property rights, privacy rights, or any other rights of any third party;

- (c) Licensor has not granted, and will not grant, any exclusive license to the Work that would conflict with the rights granted to Licensee hereunder;
- (d) The Work does not contain any material that is defamatory, obscene, or otherwise unlawful.

6.2 Disclaimer

EXCEPT AS EXPRESSLY SET FORTH IN SECTION 6.1, THE WORK IS PROVIDED "AS IS" WITHOUT WARRANTY OF ANY KIND, EITHER EXPRESS OR IMPLIED, INCLUDING BUT NOT LIMITED TO IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, OR NON-INFRINGEMENT.

7. INDEMNIFICATION

7.1 By Licensor

Licensor shall indemnify, defend, and hold harmless Licensee, its officers, directors, employees, and agents from and against any and all claims, damages, losses, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to any breach by Licensor of the representations and warranties set forth in Section 6.1.

7.2 By Licensee

Licensee shall indemnify, defend, and hold harmless Licensor from and against any and all claims, damages, losses, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to Licensee's use of the Work beyond the scope of the license granted herein.

8. TERM & TERMINATION

8.1 Term

This Agreement shall commence on the Effective Date and shall continue in perpetuity unless terminated in accordance with this Section 8 ("Term").

8.2 Termination for Breach

Either Party may terminate this Agreement immediately upon written notice if the other Party materially breaches any provision of this Agreement and fails to cure such breach within thirty (30) calendar days after receiving written notice thereof.

8.3 Effect of Termination

Upon termination of this Agreement, Licensee shall:

- (a) Cease any further use of the Work for new training runs;
- (b) Be permitted to retain and continue using any Models already trained, in whole or in part, on the Work as of the date of termination;
- (c) Be permitted to retain archival copies of the Work as required by applicable law or bona fide record-keeping policies.

8.4 Survival

Sections 4 (Ownership), 6 (Warranties), 7 (Indemnification), 8.3 (Effect of Termination), 8.4 (Survival), 9 (Limitation of Liability), 10 (Confidentiality), and 11 (General Provisions) shall survive termination of this Agreement.

9. LIMITATION OF LIABILITY

TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, NEITHER PARTY SHALL BE LIABLE TO THE OTHER FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR PUNITIVE DAMAGES, INCLUDING BUT NOT LIMITED TO LOSS OF PROFITS, DATA, OR BUSINESS OPPORTUNITIES, ARISING OUT OF OR RELATING TO THIS AGREEMENT, WHETHER IN CONTRACT, TORT, OR OTHERWISE, EVEN IF ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

IN NO EVENT SHALL LICENSOR'S TOTAL AGGREGATE LIABILITY UNDER THIS AGREEMENT EXCEED THE FAIR MARKET VALUE OF THE SHARES RECEIVED BY LICENSOR HEREUNDER AS OF THE EFFECTIVE DATE.

10. CONFIDENTIALITY

10.1 Definition

"Confidential Information" means any non-public information disclosed by one Party (the "Disclosing Party") to the other (the "Receiving Party") in connection with this

Agreement, including but not limited to the terms of this Agreement, the amount of the License Fee, and any technical or business information.

10.2 Obligations

The Receiving Party shall not disclose Confidential Information to any third party without the prior written consent of the Disclosing Party, except as required by law, regulation, or court order.

10.3 Exceptions

Confidential Information shall not include information that: (a) is or becomes publicly available through no fault of the Receiving Party; (b) was rightfully in the Receiving Party's possession prior to disclosure; (c) is independently developed by the Receiving Party without reference to the Disclosing Party's Confidential Information; or (d) is rightfully received from a third party without restriction.

11. GENERAL PROVISIONS

11.1 Governing Law

This Agreement shall be governed by and construed in accordance with the laws of the Federal Republic of Germany, excluding the United Nations Convention on Contracts for the International Sale of Goods (CISG) and without regard to conflict of laws principles.

11.2 Dispute Resolution

Any dispute arising out of or relating to this Agreement shall be resolved through binding arbitration administered by the German Institution of Arbitration (Deutsche Institution für Schiedsgerichtsbarkeit e.V. — DIS) in accordance with its Arbitration Rules. The arbitration shall take place in **[INSERT CITY, Germany — e.g., Berlin, Frankfurt, Munich]** and shall be conducted in English. The number of arbitrators shall be one (1).

11.3 Entire Agreement

This Agreement constitutes the entire understanding between the Parties with respect to the subject matter hereof and supersedes all prior and contemporaneous agreements, representations, and understandings, whether written or oral.

11.4 Amendments

This Agreement may not be amended except by a written instrument signed by both Parties.

11.5 Severability

If any provision of this Agreement is held to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.

11.6 Assignment

Neither Party may assign this Agreement or any rights or obligations hereunder without the prior written consent of the other Party, except that Licensee may assign this Agreement to an affiliate or in connection with a merger, acquisition, or sale of substantially all of its assets.

11.7 Notices

All notices under this Agreement shall be in writing and delivered via email with read receipt, or via certified mail, to the addresses set forth in the preamble to this Agreement, or to such other address as a Party may designate in writing.

11.8 Counterparts

This Agreement may be executed in counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument.

SIGNATURES

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the Effective Date.

LICENSOR:

Signature

Print Name

Date

LICENSEE (xAI Corp.):

Signature

Print Name & Title

Date

APPENDIX A: DESCRIPTION OF THE WORK

Title: Summa of the Gap

Author: R BAYE

Description: [Insert a brief description of the work, its contents, format, word count, and any included materials such as datasets, diagrams, drafts, or related writings.]

File(s) Delivered: [List filenames, formats, and any hashes for identification purposes.]

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